Annex I. Debt Sustainability Analysis

General government debt is projected to increase on account of a large deficit in 2020, reflecting the impact of COVID-19, and then from moderate primary deficits through 2025. Nevertheless, debt is assessed as sustainable in the baseline and stress scenarios. Risks result from shocks to growth and contingent liabilities, and from an increasingly reduced capacity of the domestic market to absorb higher government debt, as Kosovo does not have external market access. Extending the maturity of debt and diversifying the sources of financing remain key policy priorities to contain financing risks.

A. Key Assumptions

1. Macroeconomic assumptions. Real GDP is expected to contract by 5 percent in 2020, 8.6 percentage points below the pre-pandemic baseline, largely due to a near-cessation of travel and diaspora tourism, sharp demand and supply shocks on account of aggressive virus containment measures, and falling remittances. Growth is projected to gradually recover toward the pre-COVID-19 baseline reaching 4 percent by 2025. Headline inflation is projected at 1.3 percent in 2020, gradually increasing to 1.9 percent over the medium term. The fiscal deficit will increase sharply to 4.8 percent of GDP in 2020 (2.8 percent in 2019), due to revenue losses and increased spending on COVID-19-related measures. The fiscal rule deficit, excluding IFI-financed projects and projects financed by non-debt creating financial flows (privatization proceeds), is expected to reach 3.4 percent of GDP in 2020 and then decline to 1.5 percent of GDP by 2025, well below the 2-percent of GDP fiscal rule deficit ceiling. This reflects a lower budget execution following historical trends and increasingly limited capacity of domestic agents to absorb government debt.

2. Public debt. Public debt consists of general government debt and explicit guarantees issued by the government. Implicit contingent liabilities with respect to PAK financing (about 1.5 percent of GDP)[1], PPPs, and POEs debt (estimated at around 5–7 percent of GDP) are not included. At the end of 2019, domestic debt made up two-thirds of total debt. The external public debt is largely owed to multilaterals, namely the IDA, EIB, EBRD, and the IMF.

3. Financing assumptions. In 2020, large near-term fiscal financing needs arising from the impact of COVID-19 are assumed to be closed by drawdowns from existing government bank balances, official financing from World Bank resources and EU grants, the use of Fund credit under the RFI window, and larger domestic issuance of government bonds. Over the forecast period, the average maturity of domestic debt would gradually increase from 2.4 to 3 years, as the stock of short-term debt is projected to decrease from 4.8 percent of total debt in 2019 to less than 1 percent by 2025. IFI financing would reach a cumulative 403 million euros by 2025. Provisions made to maintain a prudent buffer of 4.5 percent of GDP in government deposits with the CBK would require additional financing of 1.9 percent of GDP during 2021–2025.

[1] This reflects potential legal obligations of PAK to reimburse claims related to privatization.

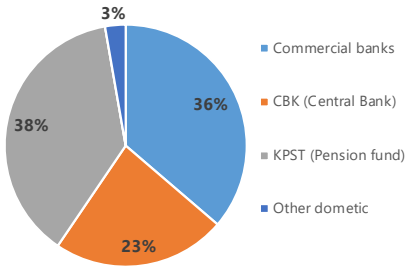
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B. Public DSA

4. Under the baseline scenario, general government debt is projected to increase over the medium term but remain within sustainable levels. The debt stock will grow from 17.5 percent of GDP in 2019 to 28.2 percent of GDP by 2025, assuming a moderate increase in absorption of IFI financing for new capital investments and fiscal rule deficits below the legal ceiling after 2021.

5. Gross financing needs remain below the sustainability threshold, but vulnerabilities remain. Gross financing needs increase to 10.2 percent of GDP in 2020 and then decline, averaging 8.4 percent over the period 2020–2025 (6.9 percent during 2015–2019), reflecting the impact of COVID-19 in 2020 and assumptions of moderate primary deficits thereafter. Nevertheless, vulnerabilities may result from the increasingly reduced capacity of the domestic market to absorb higher government debt, as Kosovo does not have external market access. Therefore, efforts to increase the average maturity of domestic debt stock should continue. The government should also aim to diversify the sources of financing by expanding the investor base (to include more public entities, individuals, private businesses, and insurance companies, which currently hold less than 5 percent of the total domestic debt) while reducing the CBK holdings of government securities and without increasing the exposure limit for KPST to more than 30 percent of its assets. At the end of 2019, KPST was holding 38 percent of government debt. Simultaneously, other new instruments could be explored, such as retail or external bonds, provided Kosovo makes progress in reducing country risk and improves its international market access.

Government Securities by Holder
(2019, projections) 1/



1/ The total stock of governmnet securities at the end of December 2019 was €792 million.
Sources: MoF, IMF staff calculation

6. Additional standardized tests indicate that public debt is sensitive to contingent liability shocks. Should guarantees be requested for the new power plant project, this could lift debt above the 30 percent of GDP ceiling considered prudent for Kosovo. Similarly, contingent liabilities shocks associated with a financial sector shock, POEs (modeled at 5 percent of GDP) and the financing of PAK (1.5 percent of GDP) would have a large impact on the debt profile. Nevertheless, the public debt level does not breach the high-risk threshold of 70 percent in any of the stress test scenarios. Gross financing needs do not exceed the threshold either, although they exceed 12 percent in the standard contingent liability shock scenario. The standard heat map and debt profile vulnerabilities analysis further suggest that public debt held by non-residents constitutes a limited vulnerability at the beginning of the forecast period, declining over time as the composition of debt increasingly shifts toward domestic debt (baseline scenario).

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Figure 1. Kosovo: Public Sector Debt Sustainability Analysis (DSA)—Baseline Scenario

(Percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

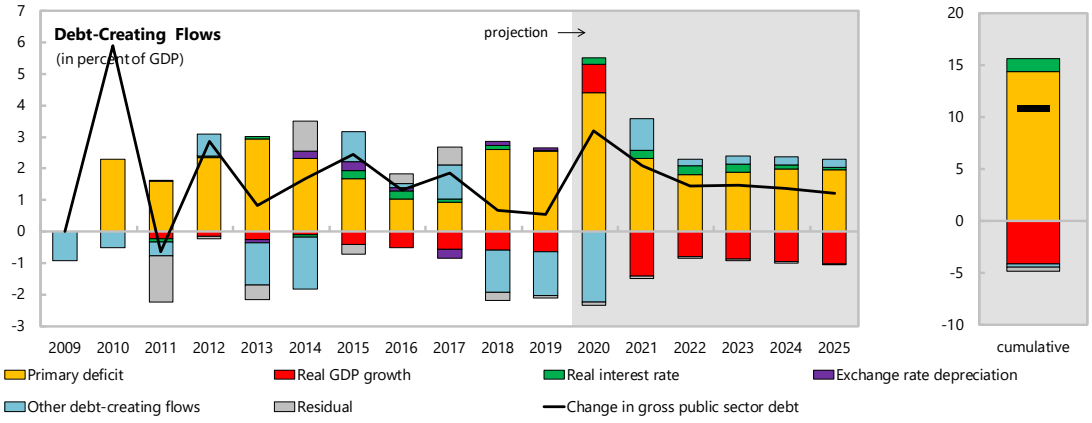
	Actual			Projections					
	2013-2017 [2/]	2018	2019	2020	2021	2022	2023	2024	2025
Nominal gross public debt	12.7	16.9	17.5	20.7	22.7	24.2	25.7	27.0	28.2
Of which: guarantees	0.3	0.7	0.6	0.6	0.6	0.6	0.5	0.5	0.5
Public gross financing needs	7.3	6.6	7.0	10.2	8.3	7.0	7.9	8.8	8.4
Real GDP growth (in percent)	3.4	3.8	4.0	-5.0	7.5	3.7	3.8	3.9	4.0
Inflation (GDP deflator, in percent)	1.4	1.0	1.9	1.6	1.1	1.5	1.7	1.8	2.0
Nominal GDP growth (in percent)	4.9	4.9	5.9	-3.5	8.7	5.3	5.5	5.8	6.1
Effective interest rate (in percent) [4/]	2.6	1.9	2.1	2.7	2.6	2.8	2.9	2.4	2.3

As of March 26, 2020

Sovereign Spreads		
EMBIG (bp) 3/		N/A
5Y CDS (bp)		N/A
Ratings	Foreign	Local
Moody's	n.a.	n.a.
S&Ps	n.a.	n.a.
Fitch	n.a.	n.a.

Contribution to Changes in Public Debt

	Actual			Projections							
	2013-2017	2018	2019	2020	2021	2022	2023	2024	2025	cumulative	debt-stabilizing
Change in gross public sector debt	1.6	0.7	0.6	3.2	2.1	1.4	1.5	1.4	1.2	10.8	primary
Identified debt-creating flows	1.4	0.9	0.6	3.3	2.1	1.5	1.5	1.4	1.3	11.1	balance [9/]
Primary deficit	1.8	2.6	2.6	4.4	2.3	1.8	1.9	2.0	2.0	14.4	-0.7
Primary (noninterest) revenue and grants	25.2	26.1	26.5	24.3	25.5	25.4	25.4	25.4	25.4	151.5	
Primary (noninterest) expenditure	27.0	28.7	29.0	28.7	27.8	27.2	27.3	27.4	27.4	165.9	
Automatic debt dynamics [5/]	-0.2	-0.3	-0.5	1.1	-1.2	-0.5	-0.6	-0.8	-1.0	-2.9	
Interest rate/growth differential [6/]	-0.2	-0.5	-0.6	1.1	-1.2	-0.5	-0.6	-0.8	-1.0	-2.9	
Of which: real interest rate	0.1	0.1	0.0	0.2	0.3	0.3	0.3	0.1	0.1	1.2	
Of which: real GDP growth	-0.4	-0.6	-0.6	0.9	-1.4	-0.8	-0.9	-0.9	-1.0	-4.2	
Exchange rate depreciation [7/]	0.0	0.1	0.1	...	...	...	...	...	...	...	
Other identified debt-creating flows	-0.2	-1.3	-1.4	-2.2	1.0	0.2	0.2	0.2	0.3	-0.3	
Privatization/ other financing (negative)	-0.1	-0.5	-0.7	-0.1	-0.7	-0.5	-0.4	-0.2	-0.1	-2.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Change in the GG balances at CBK (negative)	-0.1	-0.9	-0.7	-2.1	1.6	0.7	0.6	0.5	0.4	1.7	
Residual, including asset changes [8/]	0.2	-0.3	-0.1	-0.1	-0.1	-0.1	-0.1	0.0	0.0	-0.3	



Source: IMF staff.

1/ Public sector is defined as general government and includes public guarantees, defined as guaranteed loans and international loans subordinated by the Ministry of Finance to companies providing essential public services.

2/ Based on available data.

3/ Long-term bond spread over German bonds.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

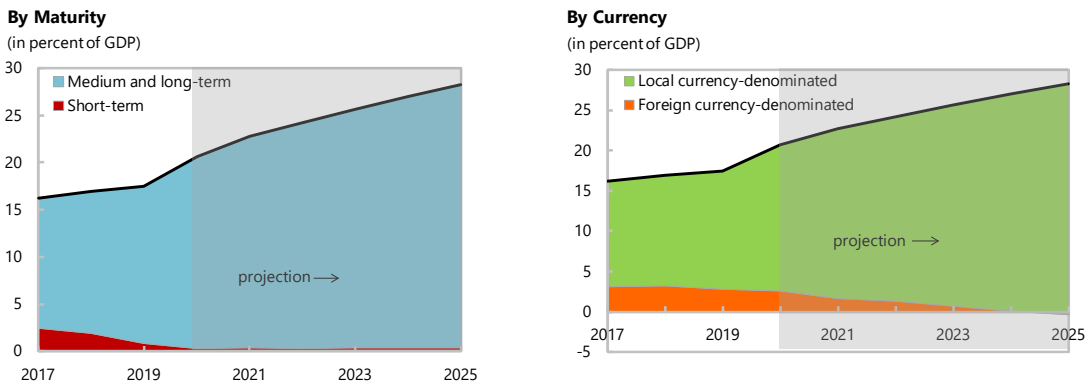
8/ Includes changes in the stock of guarantees, asset changes, and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

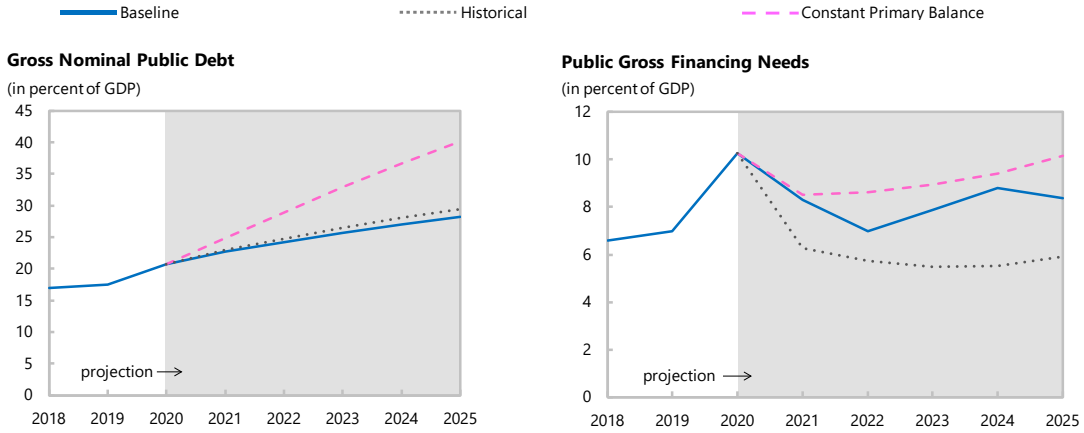
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Figure 2. Kosovo: Public DSA — Composition of Public Debt and Alternative Scenarios

Composition of Public Debt



Alternative Scenarios



Underlying Assumptions

(in percent)

Baseline Scenario	2020	2021	2022	2023	2024	2025
Real GDP growth	-5.0	7.5	3.7	3.8	3.9	4.0
Inflation	1.6	1.1	1.5	1.7	1.8	2.0
Primary Balance	-4.4	-2.3	-1.8	-1.9	-2.0	-2.0
Effective interest rate	2.7	2.6	2.8	2.9	2.4	2.3
Constant Primary Balance Scenario						
Real GDP growth	-5.0	7.5	3.7	3.8	3.9	4.0
Inflation	1.6	1.1	1.5	1.7	1.8	2.0
Primary Balance	-4.4	-4.4	-4.4	-4.4	-4.4	-4.4
Effective interest rate	2.7	2.9	3.4	3.6	3.3	3.2

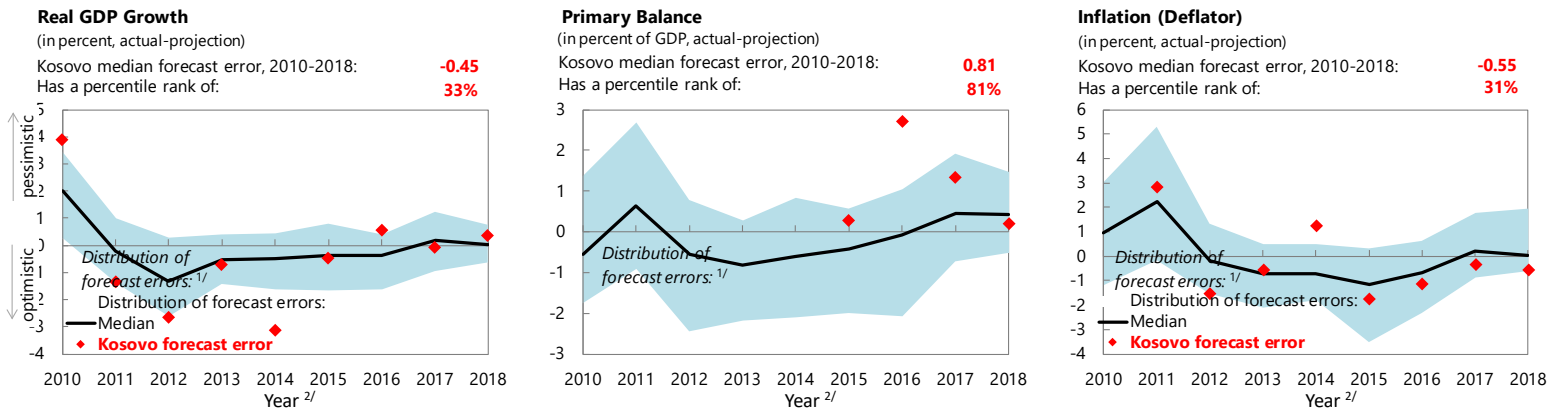
Historical Scenario	2020	2021	2022	2023	2024	2025
Real GDP growth	-5.0	3.5	3.5	3.5	3.5	3.5
Inflation	1.6	1.1	1.5	1.7	1.8	2.0
Primary Balance	-4.4	-2.0	-2.0	-2.0	-2.0	-2.0
Effective interest rate	2.7	2.9	3.1	3.2	2.7	2.5

Source: IMF staff.

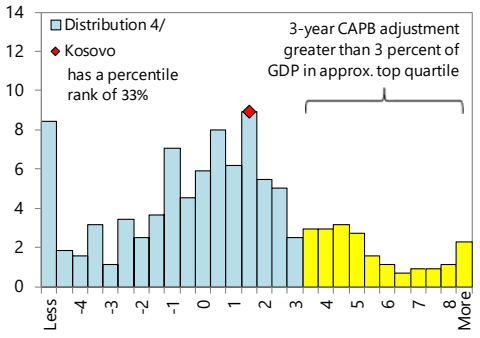
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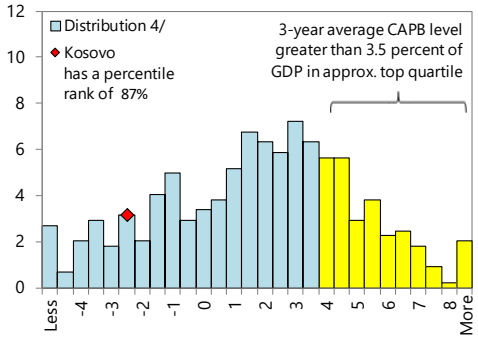
Figure 3. Kosovo: Public DSA — Realism of Baseline Assumptions

Forecast Track Record, versus all countries

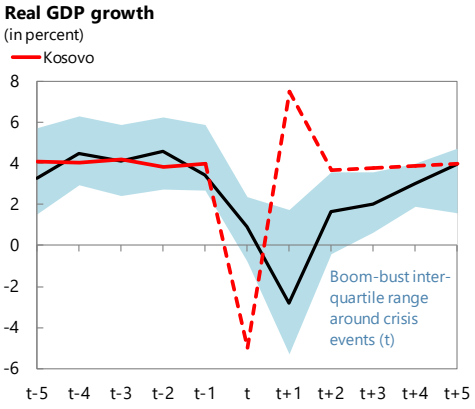


Assessing the Realism of Projected Fiscal Adjustment





Boom-Bust Analysis 3/



Source : IMF Staff.

1/ Plotted distribution includes all countries, percentile rank refers to all countries.

2/ Projections made in the spring WEO vintage of the preceding year.

3/ Kosovo has had a positive output gap for 3 consecutive years, 2017-2019. For Kosovo, t corresponds to 2020; for the distribution, t corresponds to the first year of the crisis.

4/ Data cover annual obervations from 1990 to 2011 for advanced and emerging economies with debt greater than 60 percent of GDP. Percent of sample on vertical axis.

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